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EXEMPT FROM FEES
GOV'T CODE § 6103

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF SAN DIEGO

THE PEOPLE OF THE STATE OF CALIFORNIA,

Plaintiff,

v.

SWEETWATER CARE OPCO, LLC; SWEETWATER CARE RESOURCE, LLC; SWEETWATER YV CHOLLA OPCO, LLC; SWEETWATER YV JOSHUA OPCO, LLC; SWC CA OPCO, LLC; SWC CA OPCO 2, LLC; AJC HEALTHCARE, LLC; JBG PARTNERS, LLC; ALMOND VIEW CARE CENTER, LLC; BROOKSIDE CARE CENTER, LLC; EVERGREEN CARE CENTER, LLC; FEATHER RIVER CARE CENTER, LLC; FOWLER CARE CENTER, LLC; GRAND OAKS CARE, LLC; VINDRA, INC.; NOBLE CARE CENTER, LLC; ORCHARDS AT TULARE, LLC; PALMS CARE CENTER, LLC; RANCHO SECO CARE CENTER, LLC; RIVERWALK CARE CENTER, LLC; ROLLING HILLS CARE CENTER, LLC; GATEWAY CARE, LLC; SHASTA VIEW CARE CENTER, LLC; VALLEY VIEW CARE CENTER, LLC; VINEYARDS AT FOWLER, LLC; AARON CHESLEY; JAMES GAMETT; AND DOES 1 THROUGH 300, INCLUSIVE,

Defendants.

Case No.: 25CU033612N

COMPLAINT FOR PERMANENT INJUNCTION, CIVIL PENALTIES, RESTITUTION, AND OTHER EQUITABLE RELIEF

(Business and Professions Code, §§ 17200, 17500 et seq.)

Plaintiff, the People of the State of California ("Plaintiff" or the "People"), bring this suit, represented by the Attorney General of the State of California, who is authorized to protect the general public, including elder and dependent adults within the State of California from unlawful, unfair, and fraudulent business practices. The People hereby allege the following on information and belief.

I. INTRODUCTION

1. Defendants engaged in repeated and persistent violations of California minimum staffing laws applicable to the operation of skilled nursing facilities ("SNFs"). While Defendants engaged in over 25,000 violations of California staffing laws between 2020 and 2024 according to their own staffing data, Defendants collected millions of dollars in public funds, including over $196 million in revenue from the Medi-Cal program, through the end of 2023.

2. The Legislature of the State of California recognized that elders and dependent adults are at risk of abuse, neglect, or abandonment and that this state has a responsibility to protect these persons. The Legislature has further recognized that the sufficient staffing of a Skilled Nursing Facility is imperative to prevent such patient harms. SNF patients often have medical diagnoses and other physical or mental limitations that render them unable to ask for help or to care for themselves. As such, these vulnerable patients are dependent upon the owners and operators of SNFs to operate with nursing staff in sufficient numbers to comply with laws in order to ensure their needs are met and rights are not violated. Research demonstrates that insufficient staffing is associated with an increase of patient harm.

3. Given the above concerns, California law mandates that a SNF provide 3.5 hours of direct care per patient, per day. (Health & Saf. Code, § 1276.65, subd. (c)(1)(B).) Licensed nurses are one of the two principal vehicles for the delivery of care to patients in a SNF. Licensed nurses are responsible, within the appropriate scope of their nursing licensure, for carrying out critical aspects of the nursing process including conducting patient assessments, care planning, initiating appropriate interventions to meet risks, evaluating the patient's ongoing condition, and evaluating efficacy of their plans of care. Furthermore, licensed nurses are responsible for provision of nursing care to meet more complex medical needs such as administering

medications at several points in the day, carrying out orders for therapies, assessing wounds, checking vital signs, and provision of wound treatments. Defendants chronically failed to meet this staffing obligation.

4. The second principal vehicle for the delivery of care to patients in a SNF comes from certified nurse assistants ("CNAs"). CNAs assist patients with the most basic activities of daily living such as grooming, toileting, bathing, eating, moving, and supervision. Because of the vital role that CNAs play in the appropriate operation of a SNF, California law further mandates – as a separate and independent obligation – that 2.4 hours of the 3.5 direct care hours come from CNAs. (Health & Saf. Code, § 1276.65, subd. (c)(1)(C).) Defendants also chronically failed to meet this staffing obligation.

5. Although California law mandates a minimum of 3.5 direct care hours per patient day, with 2.4 hours from CNAs, this minimum staffing requirement is exactly that: a minimum. SNF patients have needs that persist 24 hours a day. Many of these needs cannot be "scheduled." Thus, a SNF must have sufficient staff to address the unplanned incidents and emergencies that invariably arise. Moreover, patients who are sicker will require additional staffing resources. California law accordingly also requires a facility to staff for the acuity needs of its patients. (Health & Saf. Code, § 1276.65, subd. (d).) In other words, a SNF is required to have staff sufficient in numbers to meet the medical needs of its particular patient population. This is a staffing obligation that is independent of the minimum staffing requirement to provide 3.5 direct care nursing hours per patient day. As set forth in detail below, Defendants consistently failed to provide sufficient staff to meet the medical needs of the relevant patient populations.

6. Violations of the laws and regulations related to staffing and other aspects of nursing care expose this fragile population to preventable injuries, harms, and violations of patient rights. While Defendants were understaffed in violation of California law, patients developed pressure ulcers so deep that a hip joint was visible, suffered unwitnessed falls with bone fractures, eloped from facilities unbeknownst to staff resulting in head trauma, developed medical emergencies unnoticed by staff, suffered bone fractures for days without appropriate assessment or care, and were left for extended periods of time soiled in urine and feces.

7. Defendants operated a quickly growing chain of SNFs in the State of California, which grew from two licensed facilities in 2020 to seventeen in 2024. At all times, Defendants had a duty to comply with laws and regulations pertaining to nurse staffing and patient care. Defendants had an equally important duty to comply with their own promises to patients regarding nurse staffing and the quality of patient care. Each time Defendants admitted a patient into one of their facilities, they contracted to provide appropriate care in exchange for payment. However, as set forth below, Defendants engaged in a systemic, chain-wide business practice of understaffing that prioritized facility acquisitions, growth, and profit at the expense of compliance with their promises to patients and California laws.

8. Understaffing is associated with missed nursing care, omissions in care, and increased incidence in adverse resident outcomes including hospitalizations, emergency room use, incidence and prevalence of pressure injuries, restraint use, urinary catheterizations and infections, contractures, inappropriate antipsychotic drug use, violations of SNF regulations, patient death, and infections.

9. The Defendants' unlawful, unfair, and fraudulent business practices violate California's Unfair Competition Law (Bus. & Prof. Code, § 17200 et seq.). Patients of the Defendants' chain of SNFs have been subjected to persistent and continuous violations of their rights to minimum nursing staff levels required by law and regulations, violations of their Patient Rights as defined under California law, substandard nursing care, and preventable harms, as alleged more fully herein.

II. PARTIES

10. Plaintiff is the People of the State of California, by and through the Attorney General of California, who is authorized by Business and Professions Code sections 17204 and 17206 to enforce the Unfair Competition Law, or "UCL" (Bus. & Prof. Code, § 17200 et seq.).

11. Defendants are a chain of skilled nursing facilities operating in the State of California that are owned through multiple layers of limited liability companies by the ultimate beneficial owners, Defendants AARON CHESLEY ("CHESLEY") and JAMES GAMETT ("GAMETT"). Through limited liability companies wholly owned by Defendants CHESLEY and GAMETT,

millions of dollars of funds, arising largely from public funding such as Medi-Cal and Medicare, were extracted from SNF revenues for purported "management" services, "administrative" services, or profits.

12. The SWEETWATER OWNER DEFENDANTS: Defendant AARON CHESLEY is the sole member, managing member, and 100% owner of AJC HEALTHCARE, LLC, a Utah limited liability company ("AJC"). AJC does business in the State of California from its business address of 662 Encinitas Blvd., Suite 216, in Encinitas, California. Defendant GAMETT is the member and 100% owner of JBG PARTNERS, LLC, a Nevada limited liability company ("JBG"). JBG does business in the State of California from its business address of 662 Encinitas Blvd., Suite 216, in Encinitas, California. In cost reports submitted to the State of California Department of Health Care Access and Information ("HCAI"), Defendants CHESLEY and GAMETT have been identified as the sole members of the Governing Board of Defendants VALLEY CARE CENTER, YUCCA VALLEY NURSING, BROOKSIDE CARE CENTER, NOBLE CARE CENTER, RANCHO SECO CARE CENTER, and VINEYARDS AT FOWLER which are discussed in greater detail in paragraph 14, infra. Together, Defendants CHESLEY, GAMETT, AJC, JBG, and DOES 1-25, directly or indirectly owned, operated, and/or controlled the SWEETWATER MANAGEMENT DEFENDANTS and SWEETWATER FACILITY DEFENDANTS discussed infra. Defendants CHESLEY and GAMETT were the managers of each limited liability company listed in paragraphs 13 and 14 infra. Defendants CHESLEY, GAMETT, AJC, JBG, and DOES 1-25 are hereinafter referred to as the "SWEETWATER OWNER DEFENDANTS."

13. The SWEETWATER MANAGEMENT DEFENDANTS: Defendant SWEETWATER CARE OPCO, LLC, a Nevada Limited Liability Company, and Defendant SWEETWATER CARE RESOURCE, LLC, a California Limited Liability Company, and DOES 26-50, (hereinafter the "SWEETWATER MANAGEMENT DEFENDANTS"), were owned by Defendants AJC and JBG. Defendant SWEETWATER CARE RESOURCE, LLC's principal place of business was located at 662 Encinitas Boulevard, Carlsbad, California until it relocated to 1000 Aviara Parkway, Carlsbad, California. SWEETWATER CARE RESOURCE, LLC, was

the sole entity that paid the lease at the principal place of business addresses, however each of the entities listed in paragraphs 13-14 herein did business from the same addresses without having to pay rent to utilize this office space. The SWEETWATER MANAGEMENT DEFENDANTS were at all relevant times herein responsible for the operation, management, and/or control of the SWEETWATER FACILITY DEFENDANTS discussed at paragraph 14, through provision of management, administrative, and other services. In exchange for these services, the SWEETWATER MANAGEMENT DEFENDANTS extracted revenue from the SWEETWATER FACILITY DEFENDANTS that was derived in whole or part from public funds paid by Medi-Cal or Medicare to provide nursing care to SNF patients. For instance, the SWEETWATER MANAGEMENT DEFENDANTS extracted $17,458,378 from facility revenues for purported "management" and "administrative" services from 2020-2023.

14. The SWEETWATER FACILITY DEFENDANTS: Defendants AJC and JBG hold equal ownership interests in three Nevada limited liability companies, which in turn were the members of the eighteen California limited liability companies and one California corporation which serve as the licensees of the Sweetwater skilled nursing facilities detailed in this paragraph: a) Defendant SWEETWATER CARE OPCO, LLC, is a Nevada limited liability company and is owned by its members Defendant AJC and Defendant JBG. Defendant SWEETWATER CARE OPCO, LLC, and DOES 51-60, are members of the California limited liability companies which held the licenses to operate the following two skilled nursing facilities, and were thus jointly responsible for the operation, management, and control of said facilities: i. Defendant SWEETWATER YV CHOLLA OPCO, LLC, is a California limited liability company, located at 1000 Aviara Parkway, Carlsbad, California ("VALLEY CARE CENTER"). VALLEY CARE CENTER, and DOES 61-65, held the license to operate the 58-bed skilled nursing facility, doing business as "Valley Care Center," with its principal place of business located at 8515 Cholla Avenue, in the City of Yucca Valley, in the County of San Bernardino, in the State of California. ii. Defendant SWEETWATER YV JOSHUA OPCO, LLC, is a California limited liability company, located at 1000 Aviara Parkway, in Carlsbad, California ("YUCCA VALLEY NURSING"). YUCCA VALLEY NURSING, and DOES 66-70, held the license to operate the

99-bed skilled nursing facility, doing business as "Yucca Valley Nursing and Rehabilitation Center," with its principal place of business located at 57333 Joshua Lane, in the City of Yucca Valley, in the County of San Bernardino, in the State of California.

b) Defendant SWC CA OPCO, LLC, is a Nevada limited liability company and is owned by its members, Defendant AJC and Defendant JBG, whose principal place of business is 662 Encinitas Blvd., Suite 216, in Encinitas, California. Defendant SWC CA OPCO, LLC, and DOES 71-80, were the members of the following five California limited liability companies, and were thus jointly responsible for the operation, management, and control of said facilities: i. Defendant EVERGREEN CARE CENTER, LLC, is a California limited liability company, located at 1000 Aviara Parkway, in Carlsbad, California ("EVERGREEN CARE CENTER"). Defendant SWC CA OPCO, LLC, is the sole member of EVERGREEN CARE CENTER. EVERGREEN CARE CENTER, and DOES 81-90, held the license to operate the 49-bed skilled nursing facility doing business as "Evergreen Care Center," with its principal place of business at 5265 Huntington Avenue, in the City of Fresno, in the County of Fresno, in the State of California. ii. Defendant PALMS CARE CENTER, LLC, is a California limited liability company, previously located at 662 Encinitas Boulevard, Suite 216 in Encinitas, California, and currently located at 1000 Aviara Parkway, Carlsbad, California ("PALMS CARE CENTER"). Defendant SWC CA OPCO, LLC, is the sole member of PALMS CARE CENTER. PALMS CARE CENTER, and DOES 91-100, held the license to operate the 62-bed skilled nursing facility doing business as "Palms Care Center," with its principal place of business at 1010 Ventura Avenue, in the City of Chowchilla, in the County of Madera, in the State of California. iii. Defendant VALLEY VIEW CARE CENTER, LLC, is a California limited liability company, previously located at 662 Encinitas Blvd, Suite 216 in Encinitas, California, and currently located at 1000 Aviara Parkway, Carlsbad, California ("VALLEY VIEW CARE CENTER"). Defendant SWC CA OPCO, LLC, is the sole member of VALLEY VIEW CARE CENTER. VALLEY VIEW CARE CENTER, and DOES 101-110, held the license to operate the 53-bed skilled nursing facility doing business as "Valley View Care Center," with its principal place of business at 729 Browning Road, in the City of Delano, in the County of Kern, in the State of

California. iv. Defendant FOWLER CARE CENTER, LLC, is a California limited liability company, located at 1000 Aviara Parkway, Carlsbad, California ("FOWLER CARE CENTER"). Defendant SWC CA OPCO, LLC, is the sole member of FOWLER CARE CENTER. FOWLER CARE CENTER, and DOES 111-120, held the license to operate the 46-bed skilled nursing facility doing business as "Fowler Care Center," with its principal place of business at 8448 East Adams Avenue, in the City of Fowler, in the County of Fresno, in the State of California. v. Defendant ROLLING HILLS CARE CENTER, LLC, is a California limited liability company, located at 1000 Aviara Parkway, Carlsbad, California ("ROLLING HILLS CARE CENTER"). Defendant SWC CA OPCO, LLC, is the sole member of ROLLING HILLS CARE CENTER. ROLLING HILLS CARE CENTER, and DOES 121-130, held the license to operate the 34-bed skilled nursing facility doing business as "Rolling Hills Care Center," with its principal place of business at 2108 Stillman Street, in the City of Selma, in the County of Fresno, in the State of California.

c) Defendant SWC CA OPCO 2, LLC, is a Nevada limited liability company, and is owned by its members, Defendant AJC and Defendant JBG, whose principal place of business is 662 Encinitas Boulevard, Suite 216, in Encinitas, California. Defendant SWC CA OPCO 2, LLC, and DOES 131-140, are the members of the eleven California limited liability companies and shareholders of the corporation that holds the license to operate the following twelve skilled nursing facilities, and were thus jointly responsible for the operation, management, and control of said facilities: i. Defendant ALMOND VIEW CARE CENTER, LLC, is a California limited liability company, located at 1000 Aviara Parkway, Carlsbad, California ("ALMOND VIEW"). Defendant SWC CA OPCO 2, LLC, is the sole member of ALMOND VIEW. ALMOND VIEW, and DOES 141-150, held the license to operate the 99-bed skilled nursing facility, doing business as "Almond View Care Center" with its principal place of business as 1224 E Street, in the City of Williams, in the County of Colusa, in the State of California. ii. Defendant BROOKSIDE CARE CENTER, LLC, is a California limited liability company previously located at 662 Encinitas Blvd, Suite 216 in Encinitas, California, and currently located at 1000 Aviara Parkway, Carlsbad, CA 92011 ("BROOKSIDE CARE CENTER"). Defendant SWC CA OPCO 2, LLC, is

the sole member of BROOKSIDE CARE CENTER. BROOKSIDE CARE CENTER, and DOES 151-160, held the license to operate the 99-bed skilled nursing facility, doing business as "Brookside Care Center," with its principal place of business at 1221 Rosemarie Lane, in the City of Stockton, in the County of San Joaquin, in the State of California. iii. Defendant FEATHER RIVER CARE CENTER, LLC, is a California limited liability company, located at 1000 Aviara Parkway, Carlsbad, California ("FEATHER RIVER"). Defendant SWC CA OPCO 2, LLC, is the sole member of FEATHER RIVER. FEATHER RIVER, and DOES 161-170, held the license to operate the 50-bed skilled nursing facility, doing business as "Feather River Care Center" with its principal place of business as 1 Gilmore Lane, in the City of Oroville, in the County of Butte, in the State of California. iv. Defendant GRAND OAKS CARE, LLC, is a California limited liability company, located at 1000 Aviara Parkway, Carlsbad, California. ("GRAND OAKS"). Defendant SWC CA OPCO 2, LLC, is the sole member of GRAND OAKS. GRAND OAKS, and DOES 171-180, held the license to operate the 99-bed skilled nursing facility, doing business as "Grand Oaks Care Center" with its principal place of business as 897 North M Street, in the City of Tulare, in the County of Tulare, in the State of California. v. Defendant NOBLE CARE CENTER, LLC, is a California limited liability company, previously located at 662 Encinitas Blvd, Suite 216 in Encinitas, California, and currently located at 1000 Aviara Parkway, Carlsbad, California ("NOBLE CARE CENTER"). Defendant SWC CA OPCO 2, LLC, is the sole member of NOBLE CARE CENTER. NOBLE CARE CENTER, and DOES 181-190, held the license to operate the 99-bed skilled nursing facility doing business as "Noble Care Center," with its principal place of business at 2740 North California Street, in the City of Stockton, in the County of San Joaquin, in the State of California.

15. Together, the Defendants named in paragraph 14, supra, and DOES 51-260, are collectively referred to herein as the "SWEETWATER FACILITY DEFENDANTS."

16. The SWEETWATER OWNER DEFENDANTS, the SWEETWATER MANAGEMENT DEFENDANTS, and the SWEETWATER FACILITY DEFENDANTS, are collectively referred to as the "SWEETWATER DEFENDANTS."

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Respectfully Submitted,
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